

tentative ruling is uncontested, this CMC is vacated.

3. 9:00 AM CASE NUMBER: C25-02151
CASE NAME: JUSTIN MIDYETT VS. PACIFIC GAS AND ELECTRIC COMPANY

FILED BY:

TENTATIVE RULING:

This case management conference ("CMC") trails the hearing for Line 14. The parties are ordered to appear via Zoom or in person, unless the tentative ruling for the motion is uncontested. If the tentative ruling is uncontested, this CMC is vacated.

4. 9:00 AM CASE NUMBER: C25-03107
CASE NAME: RENE MACHADO VS. VALUE PLUMBING CO.

FILED BY:

TENTATIVE RULING:

This case management conference ("CMC") trails the hearing for Line 15. The parties are ordered to appear via Zoom or in person, unless the tentative ruling for the motion is uncontested. If the tentative ruling is uncontested, this CMC is vacated.

Law & Motion

5. 9:00 AM CASE NUMBER: C22-02342
CASE NAME: JULIO CRUZ VS. CAMBRIDGE REAL ESTATE SERVICES, INC.
A MOTION FOR APPROVAL OF PAGA SETTLEMENT (SET BY THE COURTROOM)

FILED BY:

TENTATIVE RULING:

Summary

Plaintiffs Julio Andres Cruz and Alberto C. Cortez, as individuals, and on behalf of others similarly situated ("Plaintiffs") move for approval of Private Attorneys General Act ("PAGA") Settlement entered with Defendants Cambridge Real Estate Services, Inc. dba Cambridge Res, Inc. ("Defendants"). The Motion is **granted** as follows. No appearance is required at the hearing on August 12, 2026.

Background

This is a representative settlement of claims brought under the California Private Attorneys General Act ("PAGA") by Plaintiffs on behalf of the State of California against Defendants. The settlement resolves representative PAGA claims on behalf of all non-exempt employees who worked for Defendant in California during the period from August 25, 2021 through January 20, 2026 ("Aggrieved Employees"). The settlement expressly does not resolve or release any individual wage-and-hour claims of Plaintiffs or other employees.

Defendant has agreed to pay a non-reversionary Gross Settlement Amount ("GSA") of **\$460,733.00**.

The agreement also contains an escalator provision: if the number of covered pay periods exceeds 8,590 by more than 10%, Defendant must either proportionally increase the GSA (subject to the agreement's formula) or shorten the covered period to avoid triggering the escalator.

From the Gross Settlement Amount, Plaintiffs seek approval of the following deductions: (a) attorneys' fees of **\$153,562.31** (one-third of the GSA); (b) litigation costs of **\$14,200.00**; (c) representative service awards of **\$5,000.00** to each Plaintiff, for a total of **\$10,000.00**; and (d) settlement administration costs not to exceed **\$4,990.00**. The remaining balance constitutes the Net Settlement Amount ("NSA").

The NSA will be distributed pursuant to Labor Code section 2699 as applicable to this action: **75%** of the NSA will be paid to the California Labor and Workforce Development Agency (LWDA), and **25%** will be distributed among Aggrieved Employees on a pro rata basis according to the number of pay periods each employee worked during the covered period.

The settlement administrator, Apex Class Action, LLC, will mail notices and settlement payments to Aggrieved Employees in both English and Spanish within fifteen days after receipt of the settlement funds. Settlement checks will remain negotiable for 180 days. Any uncashed funds attributable to Aggrieved Employees will be transmitted to the California State Controller's Unclaimed Property Fund in the employee's name.

The settlement releases only representative PAGA claims for civil penalties arising from the Labor Code violations alleged or that reasonably could have been alleged based upon the operative PAGA notices and consolidated complaint. The release does not extend to employees' individual claims for damages or other personal relief. Because this is a PAGA representative action, Aggrieved Employees have no right to opt out of or object to the settlement.

Plaintiffs contend the settlement represents a substantial recovery in light of the litigation risks. They estimate the maximum potential PAGA exposure at approximately **\$859,000**, discounted to a realistic potential recovery of approximately **\$644,250** after accounting for disputed liability, proof issues, and the Court's discretion to reduce civil penalties under Labor Code section 2699(e)(2). The proposed GSA of **\$460,733.00** represents approximately **71.5%** of that discounted valuation.

Plaintiffs request an award of **\$153,562.31** in attorneys' fees, representing one-third of the Gross Settlement Amount. Counsel contend the request is reasonable under both the percentage-of-the-fund method and a lodestar cross-check. Counsel report collectively expending **353.7 hours**, generating a lodestar of approximately **\$460,607.40**, substantially exceeding the requested fee and resulting in a negative multiplier.

Plaintiffs also seek reimbursement of **\$14,200.00** in litigation costs, representing expenses incurred in prosecuting the action, with the majority attributable to mediation and related litigation activities. Plaintiffs assert these expenses were reasonably and necessarily incurred and are recoverable under the settlement agreement. Separately, Apex Class Action, LLC seeks approval of administration costs not to exceed **\$4,990.00** for performing notice, payment, calculation, address verification, LWDA payment, and related settlement administration services.

Finally, Plaintiffs request representative service awards of **\$5,000.00** each for Cruz and Cortez in

recognition of their service as PAGA representatives. Subject to approval of the requested fees, costs, service awards, and administration expenses, Plaintiffs request entry of an order approving the settlement as fair, reasonable, and adequate, and directing implementation of its terms.

Analysis

Settlements in PAGA cases must be approved by the court. (Labor Code § 2699(s)(2).) Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (Id., at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees[.]" (Id., at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. *Neary v. Regents of University of California* (1992) 3 Cal.4th 273. Nonetheless, the court should not approve an agreement contrary to law or public policy. *Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127. Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." *California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664. As a result, courts have specifically noted that *Neary* does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose." *Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 46, 63.)

Application to this settlement

Plaintiffs claim that the settlement is fair and was evaluated by counsel based on adequate information and arms-length negotiation, which included the assistance of an experienced mediator, Hon. Brendon McKelvey (ret.). Counsel estimate that the maximum theoretical value for their penalty claims (not including "stacking"), was \$859,000 based on 8.590 pay periods. Of course, some reduction must be made for the strength of the case, and the time and expense of obtaining recovery. Even assuming success on the merits of each claim, PAGA gives the court discretion to reduce penalties for a variety of reasons, including where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory." (Labor Code, § 2699(e)(2).) These factors make the result hard to predict.

Labor Code section 2699(k)(1) provides that a prevailing employee in a PAGA action may recover attorney's fees. Plaintiffs seek \$153,562.31, or 33.3% of the total settlement amount as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (Id., at 505.) Although *Lafitte* concerns a class action, not a PAGA-only case, this Court views the use of a lodestar cross-check as appropriate here. Counsel's declaration have provided a lodestar estimate, which results in a negative implied multiplier. No adjustment is required.

The statute does not expressly address how the 25% plaintiff's share of the penalties is to be allocated among all of the aggrieved employees. (*Iskanian v. CLS Transp. Los Angeles, LLC* (2014) 59 Cal.4th 348, 382.) One court has held, however, that the entire 25% share of penalties could not be awarded to the plaintiff. (*Moorer v. Noble L.A. Events, Inc.* (2019) 32 Cal.App.5th 736, 742-743.) In *Moorer*, the plaintiff had a claim worth about \$9,500, yet was collecting penalties of \$148,000, and keeping the entire employee share, causing the court to be concerned that the plaintiff had lost sight of the fact that the purpose of the action is to benefit the public, not private parties. Allocation based on pay periods is reasonable here.

Costs of **\$14,200.00** are sought. This amount at first seems large but is largely attributable to the cost of private mediation. Given that professional private mediation generally is necessary to resolve these types of matters, the Court finds the expenses are reasonable and are approved. The administrator's costs of **\$4,990.00** are reasonable and are approved.

Ruling

1. The Court finds that the proposed settlement is sufficiently fair, reasonable, and adequate to justify approval. The motion is **granted**.
2. Counsel are directed to prepare an order reflecting this ruling, the other findings in the previously submitted proposed order lodged on July 21, 2026 attaching a copy of this ruling. If there is a conflict in the proposed order and this ruling, the terms of this ruling shall prevail.
3. Counsel are ordered to obtain a compliance hearing date for from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are ordered to joint status report and declaration by the administrator at least nine court days before the compliance hearing date/
4. Notwithstanding any contrary provision in the settlement agreement, 5% of the attorneys' fees are to be withheld by the administrator until released by the Court after review of the compliance statement.
5. The Court may issue a release of attorneys' fees through an unreported minute order without a hearing upon review of the compliance statement representing full compliance with the Court's Final Order Approving Settlement.
6. No appearance is required at the hearing on August 12, 2026.

6. 9:00 AM CASE NUMBER: C23-01650
CASE NAME: JASON BROERS VS. NAGINA PROPERTY MANAGEMENT LLC
FINAL APPROVAL - SET BY THE COURTROOM
FILED BY:

TENTATIVE RULING:

Summary

Plaintiff Jason Broers, individually and on behalf of the putative class, ("Plaintiff") move for final approval of the class action and PAGA settlement against Defendant Nagina Property Management, LLC ("Defendant"). This motion is **granted** as set forth herein. No appearance is required at the hearing on August 12, 2026.